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UNIT III SERVICE BUSINESS - I

CHAPTER 13 WAREHOUSING

Learning Objectives

To enable the students to

i. know the meaning of warehouses and warehousing.
ii. explain the different types of warehouses.
iii. describe the functions of warehouses.
iv. know about the various warehousing documents.

Introduction

The term "Ware" means products or goods. "Warehousing" generally means storage place or godowns which is located near a factory to keep the raw materials and finished products. Storage is only a holding place of goods. Whereas a warehouse is located near the market to perform the other marketing functions such as grading, standardization, blending, mining packing, etc. The development of science and technology has improved the ways and means of storage. It removes the hindrance of time.

13.01 Meaning of Warehouse and Warehousing

Warehouse

It is a place where goods are stored for future use and act as distribution centres. Warehouses are designed depending upon the nature of the products to be stored.

For example, to keep perishable items like fruits and vegetables, cold storages are required. Certain pharmaceutical products are to be kept under suitable temperature. Liquids like petrol, oil molasses need tanks while grains like barley, pulses, etc. need ventilated halls.

According to J. Stephenson, "a warehouse in an establishment for the storage or accumulation of goods".

Warehousing

It is an arrangement by which goods are stored when they are not needed immediately and are kept in such a manner so as to protect from damage or deterioration.

"A warehouse is a commercial building for storage of goods. Stored goods can include any raw materials, packing materials, spare parts, component or finished goods associated with agriculture, manufacturing and production".

13.02 Differences between Warehouse and Warehousing

Warehouse is a place where goods are stored for future use whereas, warehousing is an arrangement of goods. Warehouse is to hold goods for storing purpose only.